European Cross-Commodity Risk Pack: Gas + Carbon □ Power Curve Implications

Daily desk brief — 2026-05-08

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Generated by `scripts/generate_brief.py`. AI narrative + news themes via Anthropic Claude.

> □ **Data-freshness caveat**: Clean Dark (last 2025-12-31, 128d old); Coal (last 2025-12-26, 133d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — GB Power at 93rd percentile, Clean Spark at 92nd; renewables collapsed 33% YoY; storage 12pp below seasonal; Iran war Hormuz risk and Libya gas ramp are the marginal TTF supports.

GB Power stands at 93rd percentile and Clean Spark at 92nd percentile, driven by renewables collapsing to just 27% (18th percentile, down 33% year-on-year) and forcing gas and coal into sustained baseload duty. Storage sits critically tight at 34.3%, 12.4 percentage points below seasonal norm, with refill pace determining H2 settlement risk and keeping the power curve extended. Iran war escalation threatens Hormuz corridor supply while Libya gas ramp-up remains the marginal TTF support, though both timelines carry opacity; coal data 133 days old and clean-dark 128 days old limit intraday confidence on dark spreads. With Hormuz corridor disruption offsetting Libya's slow ramp signal, thermal tightness and storage deficit compressed are anchoring front-curve risk while compressed storage headroom and in-the-money spark dynamics lock the Cal+1 regime into extended thermal exposure.

*Generated by **claude-haiku-4-5** via Anthropic API (two-pass extract□ narrate). Prompts/responses logged to `ai/logs/`.*

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
TTF Gas	2026-05-07	43.56	EUR/MWh	-0.78%	+1.04%	56	Within typical range
EU Storage	2026-05-06	34.26	% full	+0.03%	+4.50%	11	12.4 pp below the 5-yr seasonal average
EUA Carbon	2026-05-07	31.54	EUR/tCO2	-1.47%	+1.75%	26	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+93.57%	76	Within typical range
GB Power	2026-05-08	126.88	EUR/MWh	-7.87%	+22.67%	93	93th-percentile of 5-yr range — historically high
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range
Clean Spark	2026-05-08	39.27	EUR/MWh	+1.94	+78.90	92	92th-percentile of 5-yr range — historically high

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Clean Dark	2025-12-31 ☐ STALE	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs *(feed derived metrics; not separately traded)*

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 ☐ STALE	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads ☐ abs EUR/MWh deltas; others ☐ pct. Weekly Δ uses 5d trailing means. Full history in `data/<metric>.csv`.

3 · Gas + LNG arb

TTF front-month prints at 43.56 EUR/MWh — *Within typical range*. **EU storage** at 34.3% full (-12.4 pp vs 5-yr seasonal avg) — *12.4 pp below the 5-yr seasonal average*. **TTF – JKM (LNG arb)** at -5.35 EUR/MWh (JKM 16.84 USD/MMBtu) — JKM richer than TTF — Asia pulls cargoes, marginal European tightening risk.

4 · Carbon (EU ETS)

EUA December prints at 31.54 EUR/tCO2 — *Within typical range*. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

EU vs UK ETS — Cobblestone's emissions desk trades EUA and UKA. Post-Brexit auction reform narrowed the UKA discount to EUA from £20+/t to single-digit £/t; CBAM phase-in pulls UK compliance demand toward parity. EUA–UKA basis remains a tradable cross-market signal.

Supply / policy signal — *CBAM full operational phase live since 1 Jan 2026 — importers paying for embedded emissions*
Side: `policy` · Polarity: `bullish EUA` · Source: EU Regulation 2023/956 (CBAM)

Domestic carbon-cost burden gradually levelled with imports; supports EUA demand floor as carbon leakage protection tightens through 2034.

No ETS-relevant news surfaced today — falling back to `data/policy_facts.py` (hand-maintained structural fact pack). Fact pack last reviewed 2026-05-08 (0d ago).

5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — *Within typical range*. **GB day-ahead baseload** at 126.88 EUR/MWh — *93th-percentile of 5-yr range — historically high*. **DE – GB spread** at +11.12 EUR/MWh (DE premium) — drives interconnector flow direction.

Clean spark spread at +39.27 EUR/MWh — *92th-percentile of 5-yr range — historically high*. Bridge from gas + carbon fundamentals to gas-fired economics; sustained positive spark = TTF moves transmit directly into the power curve.

Dark spread suppressed: coal data 133d old (last 2025-12-26); spark alone carries the regime read.

Curve shape: DA ☐ W+1 ☐ M+1 ☐ Q+1 ☐ Cal+1 ☐ Cal+2 = 138 / 91 / 91 / 91 / 91 / 91 EUR/MWh — **Backwardation** (DA –Cal+1 spread +47 EUR/MWh). Forwards are seasonality projections — see Methodology.

This week ahead

- **Fri** 14:30 UTC — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- **Fri** — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.

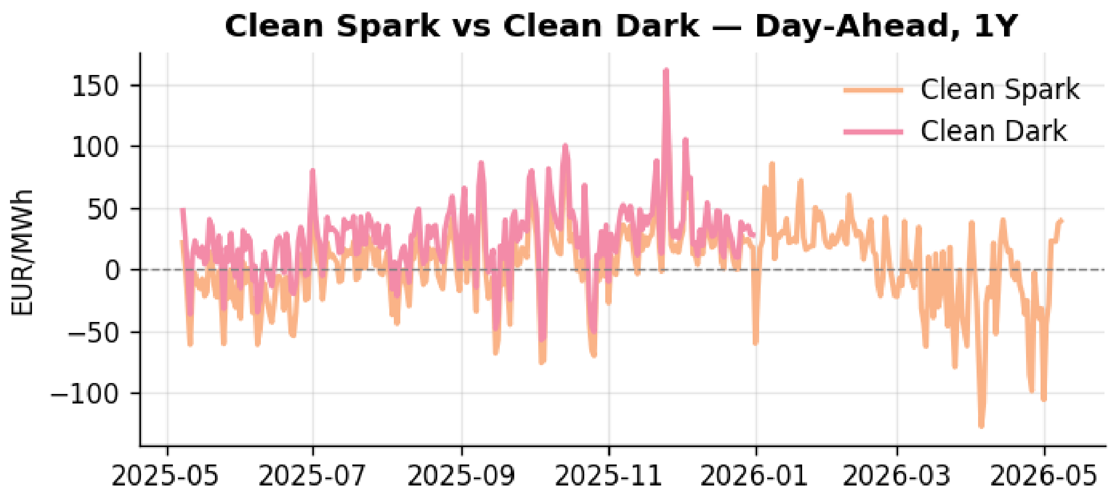

Figure 1: Clean Spreads

- **Tue** 08:00 UTC — AGSI+ daily storage print: First read on the week's gas injection / withdrawal pace; sets the tone for TTF curve shape.
- **Fri** — EU methane rule exemption rollout: Watch for 'energy security carve-out' invocation; upstream discipline erosion may raise TTF volatility. *(news-extracted)*

Scenarios (1w horizon)

	Summary	TTF	DE Power
Base	Renewables stabilize ~35%; storage injection continues ~2% weekly; Libya ramp signals credible but slow. TTF flat to slightly softer.	–2 to +1%	±1–2%
Upside	Hormuz corridor closure deepens; Iran war escalates regional supply. Libya delay confirmed. TTF tightens; GB power surges.	+8–12%	+12–18%
Downside	Hormuz reopens credibly; SPR drawdown accelerates; Brent falls below $60; LNG arb weakens. Renewables recover above 45%. TTF softens.	–5 to –8%	–8–12%

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

6 · Today's themes

Watchlist (1–4 weeks) - Hormuz corridor reopening timeline; daily oil/LNG flow updates (TTF, Brent arb) - EU methane rule exemption rollout; when countries invoke 'energy security' carve-out

*5 structured themes in `data/ai_news_themes.json` — **claude-haiku-4-5** from 17 headlines.*

*Risk framing — built within a discipline of clear limits and continuous monitoring; observations here are framed as risk inputs, not directional calls. Positioning decisions remain with the desk. Methodology + sources: **README §Methodology**. Numbers auditable via the snapshot JSONs. Rule-based / informational — not investment advice.*